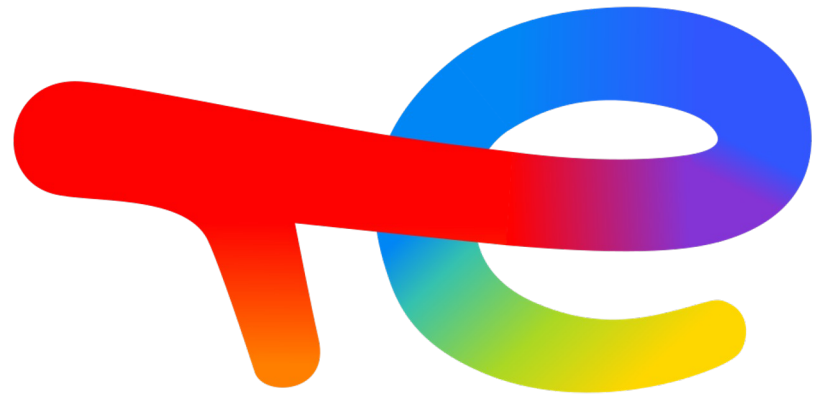




TotalEnergies

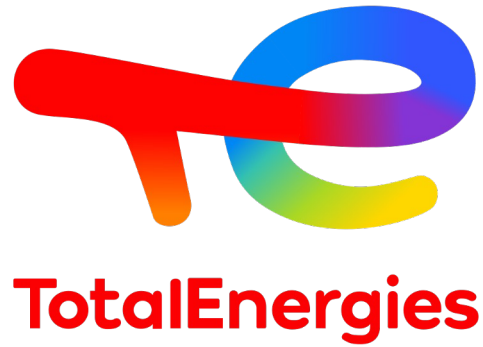
TotalEnergies SE - TTE

12/02/2026

Equity Research Report



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Company Overview

Company Highlights

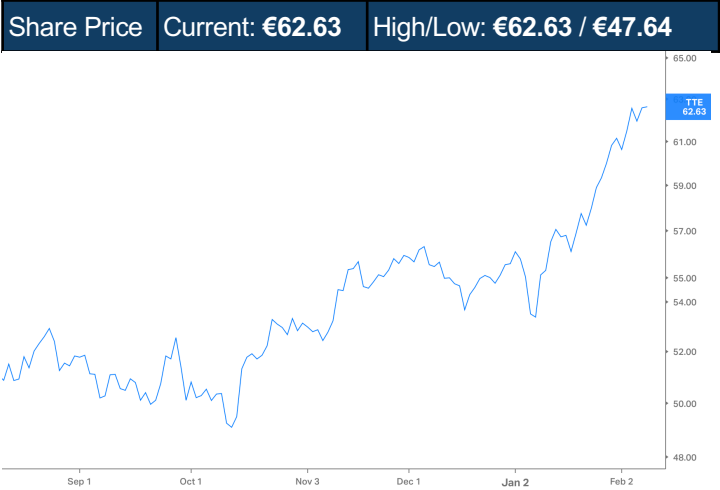
- History:** TotalEnergies, founded in 1924 under the name Compagnie Française des Pétroles (CFP), was created to ensure France's energy independence after World War I. Historically focused on oil and gas, the European Company gradually diversified into electricity, solar, wind, and hydrogen. Today, it operates an extensive network of exploration, refining, distribution, and energy production infrastructures in more than 130 countries. Listed on the Paris Stock Exchange since 1929 (EPA: TTEF) (and on the NYSE since 1991) and part of the CAC 40, it changed its name in 2021 to reflect its transition toward a multi-energy company. Recently, TotalEnergies has been investing heavily in renewables and low-carbon solutions, while continuing strategic projects in LNG and offshore energy.
- Valuation:** TotalEnergies' stock shows moderate volatility, driven by fluctuations in oil and gas prices as well as global energy transition policies. Recent key developments include major investments in renewable energy projects, the expansion of its LNG operations, and strategic partnerships in offshore wind and hydrogen.
- Strategy:** The company continues to strengthen its position in low-carbon mobility and electricity generation (sometimes by acquisitions like in 2021 with the Blue Charge electric vehicle charging network in Singapore), reflecting its ongoing shift toward a multi-energy future.
- Corporate Finance Transactions:** Acquired VSB Group (Germany) & Quadra Energy (Germany) in 2024
- Ownership:** among the biggest shareholders are Total SA (6%), Blackrock (6.1%) and the employees (7.7%)

Industry Data	Average
Energy sector	
EV/EBITDA – 5.63	6.00
EV/Revenue – 1.09	1.00
P/E – 10.48	11.00
Key Metrics	Unit
Gross Margin	35.98%
ROE	11.23%
ROA	4.13%
Cash ratio	0.14
Debt to Equity	1.33
Pretax Margin	7.20%

Revenue Mix	%	Gross (bn)
Refining & chemicals revenue	41%	€21.54
Marketing & Services	38.9%	€20.44
Integrated Power	11.7%	€6.137
Integrated LNG	5.5%	€2.89
Exploration & Production	2.84%	€1.496

Valuation & Share Performance

Key Valuation Statistics			
Enterprise Value	€169.97bn	Revenue (FY25)	€182.4bn
Market Cap	€137.56bn	EBITDA (FY25)	€32.88bn
P/E	10.48x	EBITDA Margin '25	18.03%
EV/EBITDA	5.63x	Debt / EV	0.52x
Cash	€26.2bn	Total Debt	€61.42bn





TotalEnergies Business Model

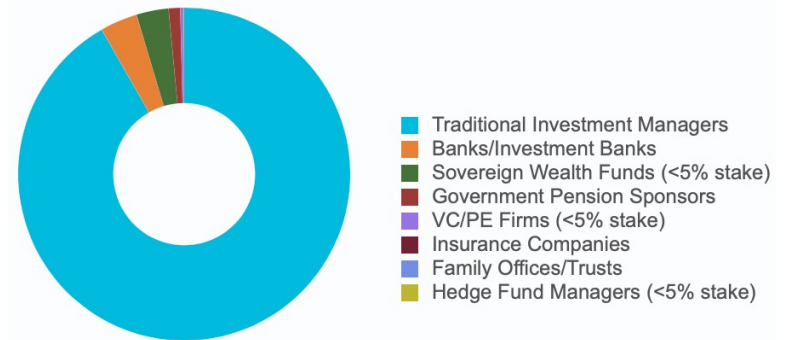
Operating Segments

TotalEnergies generates revenues primarily through their multi-energy contracts, their vertical integrity and their global presence.

It has three main operating segments:

- **Multi-energy revenues:** TotalEnergies has evolved from an oil and gas-focused company to a multi-energy firm, including natural gas, solar, wind, hydrogen, and electricity.
- **Vertical integration & global presence:** The company operates across the entire value chain (exploration, production, refining, distribution, trading, transport, and renewable energy production) and is present in over 130 countries with key infrastructures like LNG terminals, refineries, pipelines, and distribution networks.
- **Energy and financial strategy:** TotalEnergies invests heavily in solar, offshore wind, hydrogen, and electric mobility (e.g., acquiring charging networks like Blue Charge in Singapore), while maintaining stable profitability from hydrocarbons and preparing for a low-carbon future.

Shareholder Analysis





Operating Forecast

Revenue Drivers

Revenue & EBITDA Forecast

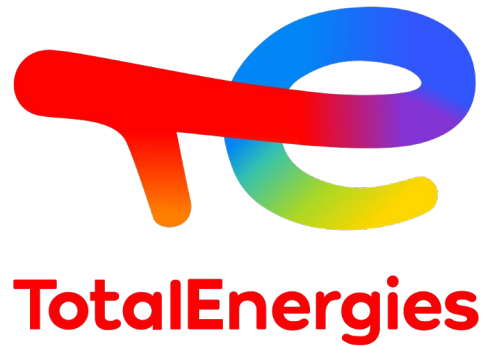
In million (€)	2022	2023	2024	2025	2026E	2027E	2028E
Operating Income	62 174,00	32 388,00	25 821,00	19 032,00	22 711,10	23 180,92	26 392,55
Operating income growth (%)		-48%	-20%	-26%	19%	2%	14%
Net profit	20 526,00	21 384,00	15 758,00	13 127,00	15 664,60	15 988,65	18 203,81
Net profit growth (%)		4%	-26%	-17%	19%	2%	14%
EBITDA	75 861,00	45 081,00	38 109,00	32 879,00	38 979,81	39 169,17	41 690,24
EBITDA Margin (%)	29%	21%	19%	18%	18%	18%	18%

Revenue drivers:

- **Expansion of low-cost hydrocarbon production:** The group is targeting production growth of 3% per year through 2030, driven by the start-up of major projects in Brazil (Mero-4), the US (Ballymore), Iraq, and soon in Namibia. These high-margin assets benefit from production costs kept below \$5/boe, ensuring robust profitability even in the event of a decline in oil prices.
- **Strategic acceleration of Integrated LNG:** TotalEnergies expects a 50% increase in its LNG sales by 2030, thanks to massive expansions in Qatar and new liquefaction trains in the United States (Rio Grande LNG). This segment is expected to see its cash flow grow by more than 70% over the period, benefiting from structural demand in Europe and Asia.
- **Rise of the “Integrated Power” model:** With a target growth rate of 20% per year to reach 100-120 TWh in 2030, this segment is set to become a driver of positive free cash flow from 2028. The group is capitalizing on gas-to-power integration and the signing of PPAs, particularly to meet the energy demand of AI-related data centers.
- **Financial discipline and operational efficiency:** A \$7.5 billion cost reduction program is being rolled out for 2026-2030 to protect margins against macroeconomic volatility. This rigor will stabilize net investments between \$15 billion and \$17 billion per year while ensuring a return to shareholders of more than 40% of cash flow.



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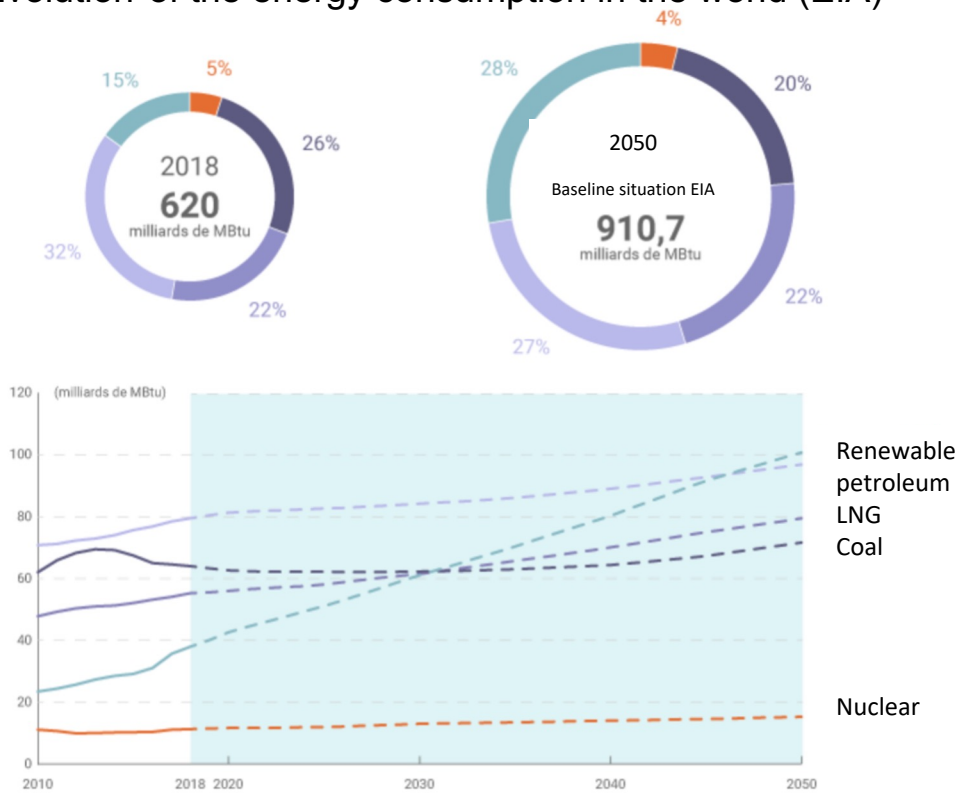
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Industry Overview

○ Key Factors

Evolution of the energy consumption in the world (EIA)



Source : U.S. Energy Information Administration, International Energy Outlook 2019

- Integration & Diversification strategies

Major energy firms are combining existing (fossils) and renewable operations to balance risk, as optimizing value across the integration (largely vertical), and secure long-term growth. Diversification into chemicals, LNG, and power generation supports resilience amid market fluctuations.

- Volatility & Commodity exposure

Oil and gas prices remain highly sensitive to geopolitical tensions, OPEC+ production decisions, and global economic cycles.

- Energy transition

The sector is navigating a shift from traditional fossil fuels (petroleum, gas, coal, ...) to renewable and low-carbon energy sources, driven by climate regulations (Paris' Accords), ESG mandates, and investor demand for sustainability.

- Regulatory Changes and Compliance

As our energy consumption evolves, so do the regulations. Project managers must stay ahead of new compliance requirements, such as those related to ESG disclosures, data protection, and anti-money laundering, to avoid penalties and maintain trust with investors and the governments.



Business Overview - Competitive Landscape

○ Competitors and partners

• Competitors

- **Royal Dutch Shell (Ned/UK):** A global integrated energy giant. Shell ranks among the top in the oil & gas sector worldwide. Competes with TotalEnergies in upstream exploration, downstream refining, and renewable energy investments.
- **BP (UK):** British Petroleum is a major international energy company, operating across oil, gas, and renewables. Competes with TotalEnergies in fuel retail, petrochemicals, and low-carbon energy projects.
- **ExxonMobil (USA):** One of the world's largest publicly traded oil companies. Competes with TotalEnergies in upstream oil & gas, liquefied natural gas (LNG), and chemicals markets.

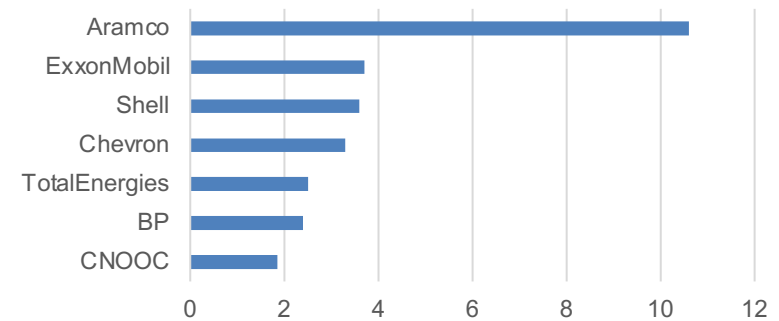
• Partners

- **Adani Group (India):** Collaborates with TotalEnergies on renewable energy projects and LNG supply. Key regional partner in India, supporting Total's expansion in Asia.
- **CNOOC (China):** Partners in offshore oil & gas exploration and LNG projects. Strengthens TotalEnergies' presence in the Asian energy market.
- **Qatar Petroleum (Qatar):** Works with TotalEnergies in LNG and gas infrastructure projects. Strategic partner for securing long-term energy supply and joint investments in the Middle East.

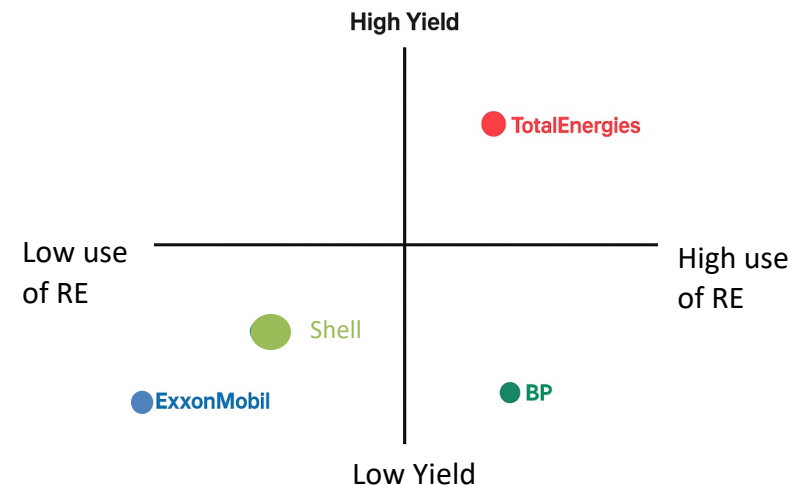
Top producer Firms

(Based on 2023)

Production (Mb/d)



Positioning Mapping



RE = Renewable Energy

Business Overview - Key Trends



○ Key trends for the industry

• Short term

- Market volatility

Investors prioritize inflation-resistant assets (commodities, real estate, inflation-linked bonds) amid macroeconomic uncertainty.

- Refining margins chaos

Drop of the margins pressured by slower global demand and energy transition policies in Europe.

• Medium term

- Rise of LNG and biofuel

renewable-driven investment as transitional energy sources.

- Shift towards renewable energy

Increasing capital allocation toward renewables, storage, and electric mobility.

• Long term

- Structural decline of fossil fuels demand

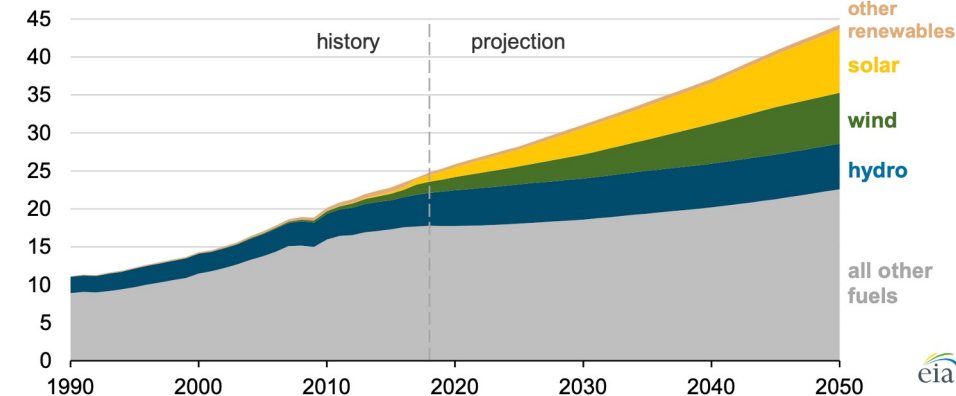
Electrification and carbon pricing expanding due to new regulations and ecological awareness.

- Repositioning strategy

Consolidation and repositioning of energy majors into integrated low-carbon utilities.

EIA projects that renewables will provide nearly half of world electricity by 2050

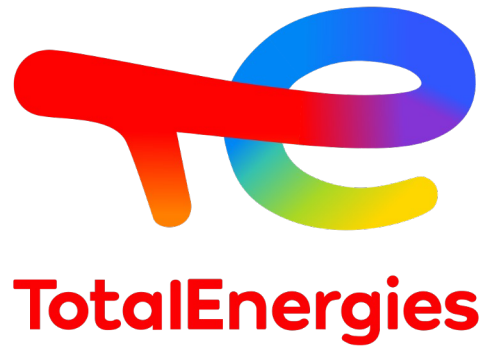
World net electricity generation, IEO2019 Reference case (1990-2050)
trillion kilowatthours



Source: U.S. Energy Information Administration, *International Energy Outlook 2019*



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Investment Thesis

Strong and predictable dividend yield

- TotalEnergies has implemented a cost reduction plan (Capex/Opex) with more conservative guidance on capital expenditure and a commitment to maintaining a strong balance sheet.
- Analysts also highlight the dividend, the potential for share buybacks, and the fairly moderate P/E ratio ($9\% <$) as factors that make the stock attractive if the company achieves its projected targets.

Strong resilience power through diversification

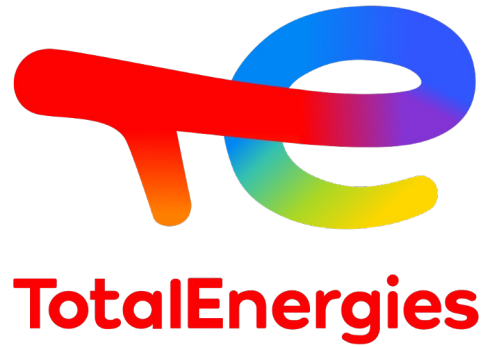
- TotalEnergies' energy transition strategy is reflected in growing electricity production (renewables + flexible gas) and better integration of the “power + gas” chain in deregulated markets (United States, Europe, Brazil).
- This segment is seen as a source of resilience during oil downturns, which appeals to brokers seeking income that is less correlated with sharp fluctuations in energy prices.

Growth in LNG and cash-flow (estimated)

- TotalEnergies forecasts strong growth in LNG sales between now and 2030, driven by competitive projects in the United States and Qatar (NFE, Rio Grande LNG, etc.).
- Brokers believe that these segments will generate significant cash flow growth, justifying optimistic price targets (e.g., Wolfe Research has raised its target to \$82).



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Historical Share Price Analysis



- 1. 1929** – Listing of Compagnie Française des Pétroles (CFP) — the predecessor of TotalEnergies — on the Paris Stock Exchange.
- 2. 1950's** – Expansion into the Middle East and Africa to secure oil supply and reserves.
- 3. 1970's** – Embargos from Yom Kippur War oil and the Iranian revolution. price surge and energy shock.
- 4. 1999-2000** – Merger with Elf Aquitaine and Petrofina to form TotalFinaElf.

- 5. 2006** – Spin-off of Arkema and corporate restructuring.
- 6. 2017** – Acquisition of Maersk Oil for \$7.45 billion.
- 7. 2020** – COVID. Global demand collapse led to an oil price crash below \$20/barrel; Total's stock fell about -45 %
- 8. 2021** – Rebranding to TotalEnergies. marking a strategic shift toward multi-energy and renewables.
- 9. 2022** – Strategic LNG expansion with QatarEnergy (North Field East. North Field South projects).
- 10. Q4 2024/2025** – Better-than-expected results driven by LNG and stable dividends.



Broker estimates

Broker Estimates	Target Prices (\$)	Upside (%)	Rating
Kepler (27/01/2026)	€51.50	-17.8%	Sell
UBS (11/02/2026)	€61.00	-2.60%	Buy
Jefferies (11/02/2026)	€66.00	+5.38%	Buy
Barclays (11/02/2026)	€78.00	+24.5%	Buy
Berenberg (23/01/2026)	€57.00	-8.99%	Hold
TD Cowen (22/01/2026)	€58.93	-5.91%	Hold
Piper Sandler (08/01/2026)	€59.77	-4.57%	Hold
Overall average (22 analysts)	€76.29	+21.8%	Outperform



DCF Model Output

WACC Assumptions

Cost of Debt
9.03%

As of December 2024, the cost of debt for TotalEnergies was €3.18bn. for a total book value of net debts of €35.22bn
 $\Rightarrow \text{Cost of Debt} = 3.18 / 35.22 = 9.03\%$.

Risk Free Rate
3.48%

We use here the France Gov. Debt 10Y rate

Cost of Equity
5.07%

We use here a 3.17% market premium. the difference between the risk-free rate and the 10Y return average of the CAC40 Index and the CAPM model then:

$$K_e = R_f + \beta * (R_m - R_f) \text{ with an adjusted } \beta \text{ of } \beta = 0.67 * 0.25 + 0.33 * 1.00 = 0.50$$

Weight of debt
44.65%

Market cap : €137.56bn / Total debts : €61.42bn

$$\text{Weight of debt} = 61.42 / 137.56 = 44.65\%$$

WACC
5.17%

$$\begin{aligned} \text{WACC} &= (1 - \text{weight of debt}) * \text{Cost of Equity} + \text{weight of debt} * \text{Cost of Debt} * (1 - \text{Tax Rate}) \\ &= (1 - 44.65\%) * 5.07\% + 44.65\% * 9.03\% * (1 - 41.45\%) \\ &= 5.17\% \end{aligned}$$



DCF Model Output

Terminal Value – Perpetuity Growth Method

2025 FCF : EUR 10.11B

FCF growth for the next 10Y : 2%

Baseline Terminal FCF Growth Rate: 2%

Baseline Terminal Value : EUR 311.4B

Diluted shares outstanding : 2.22B

Net debt : EUR 35.22B

Baseline EV : EUR 276.2B

Implied Share Price from DCF	124.51 €	Premium to Current Share Price	+98.8%
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Sensitivity Analysis

		Terminal earnings growth rate				
		1,00% ▼	1,50% ▼	2,00% ▼	2,50% ▼	3,00% ▼
WACC	4,00%	143,09	169,62	209,40	275,71	408,33
	4,50%	119,52	137,67	163,07	201,18	264,69
	5,17%	97,24	109,01	124,51	145,81	176,95
	5,50%	88,71	98,42	110,91	127,57	150,88
	6,00%	78,17	85,62	94,93	106,90	122,86



DDM Model Output

Terminal Value – Gordon Growth Model

Dividend yield : 5.44%

Dividends 2024 : €3.06

Estimated dividends :

	2025	2026	2027	2028	2029	2030	2031
dividends	3.80	4.06	4.35	4.65	4.98	5.33	5.70
PV		3.87	3.94	4.01	4.08	4.16	4.24

Dividend growth rate perpetual : 2.00%

Cost of Equity: 5.07%

Implied Share Price from DDM	€213.82	Premium to Current Share Price	+241%
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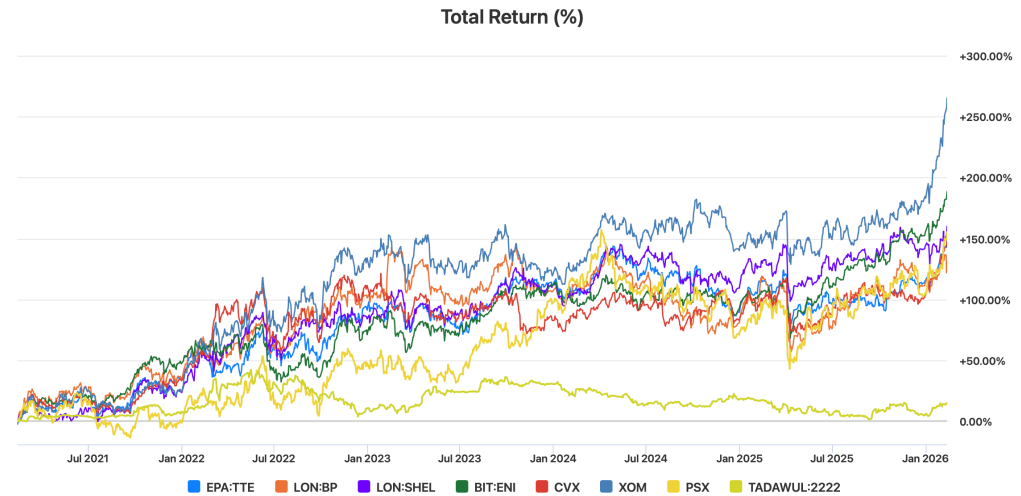
Sensitivity Analysis

		Terminal dividend growth rate				
		1,00% ▼	1,50% ▼	2,00% ▼	2,50% ▼	3,00% ▼
Cost of Equity	4,00%	216,16	255,68	314,95	413,73	611,29
	4,50%	188,75	217,11	256,82	316,37	415,63
	5,07%	165,82	186,45	213,82	251,84	308,25
	6,00%	139,42	152,84	169,62	191,20	219,96
	7,00%	120,23	129,47	140,56	154,11	171,05



Comparables Analysis

Key similarities: These firms manage diversified energy portfolios spanning oil, gas, and increasingly, renewable energy projects. TotalEnergies can remain competitive by accelerating its transition toward low-carbon energy while maintaining profitability in its traditional operations. Like Shell and BP, it invests heavily in renewables and LNG, but its balanced strategy between hydrocarbons and clean energy helps it sustain strong returns while preparing for long-term decarbonization.



Ticker	Name	Market Cap	Stock price	PE Ratio	Forward PE	EV/EBITDA	Price/Sales	Debt/Equity
ENXTPA:TTE	TotalEnergies SE	138bn	64,22	10,5	11,4	5,6	0,9	0,52
LSE:BP.	BP p.l.c.	72bn	4,66	1 301,4	14,2	4,4	0,5	0,98
LSE:SHEL	Shell plc	166bn	29,14	9,3	12,6	4,5	0,8	0,43
BIT:ENI	Eni S.p.A.	55bn	18,27	21,1	12,0	5,2	0,6	0,65
NYSE:CVX	Chevron Corporation	361bn	182,26	29,3	26,9	9,8	1,8	0,21
OB:EQNR	Equinor ASA	674bn	270,30	133,6	10,7	2,1	0,7	0,77
NYSE:XOM	Exxon Mobil Corporation	633bn	151,59	22,0	21,8	10,5	2,0	0,16
BME:REP	Repsol, S.A.	19bn	17,12	10,8	7,1	5,4	0,4	0,56
NYSE:PSX	Phillips 66	63bn	157,31	14,4	14,8	11,5	0,5	0,77
ENXTLS:GALP	Galp Energia, SGPS, S.A.	13bn	17,99	12,8	15,3	6,2	0,7	0,94
SASE:2222	Saudi Arabian Oil Company	6245bn	25,82	15,9	16,8	8,0	3,7	0,21
Low				9,3x	7,1x	2,1x	0,4x	0,2x
Mean				32,5x	14,8x	6,7x	1,0x	0,6x
High				1301,4x	26,9x	11,5x	3,7x	1,0x

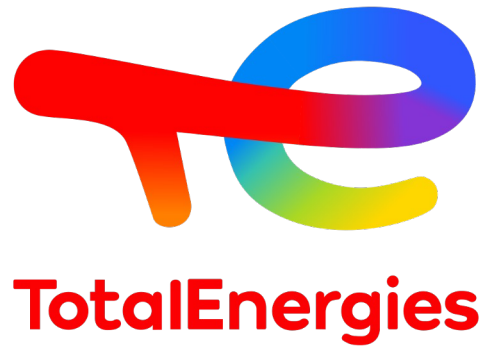


Comparables Analysis: Multiples Valuation

	PE Ratio	Forward PE	EV/EBITDA	Price/Sales
TotalEnergies	10.48x	11.40x	5.63x	0.93x
Mean peers	32.48x	14.79x	6.75x	0.96x
xValuation (bn)	€426.32	€470.15	€221.89	€174.15
price / share	€192.18	€211.94	€100.03	€78.50



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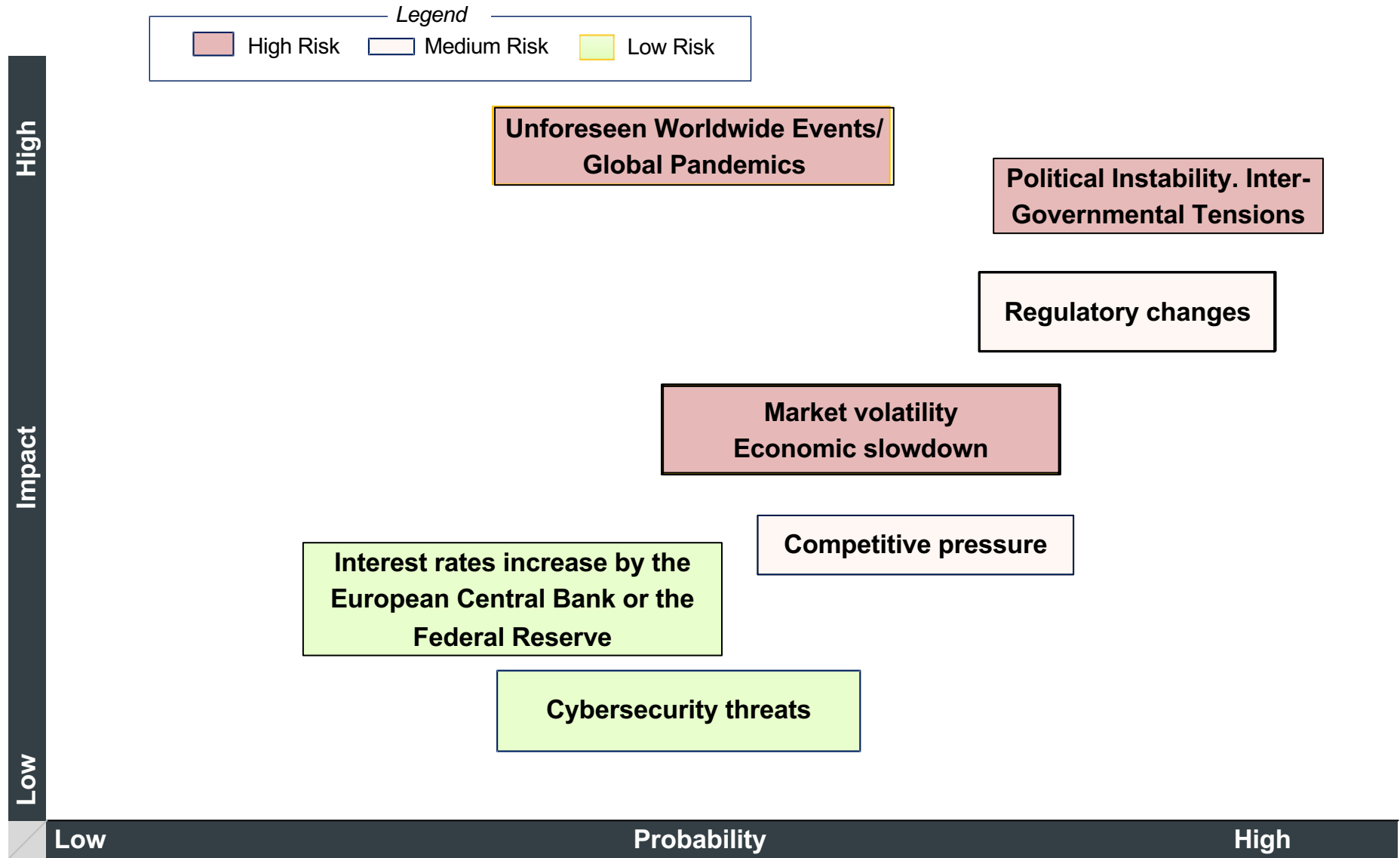
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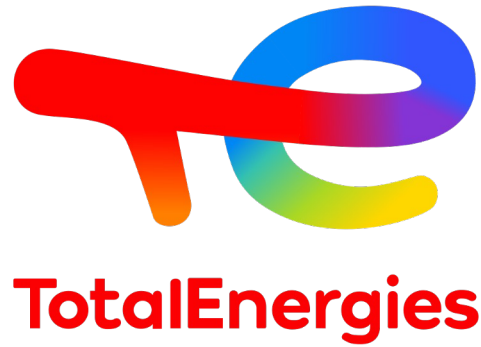


Risk Considerations





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Price Target & Recommendation

Price Target		
Valuation Summary		
Analysis	Price	Weight
Current price	€62.63	10%
Brokers	€76.29	20%
Comparables	€145.66	20%
DCF	€124.51	20%
DDM	€213.82	30%
Target Price	€139.70	100%

We believe that now, Total is a low-risk play and therefore a buy for our core portfolio.

Our price target is double market price, but this is a long-term play.

A stop in the continuous increase in dividends is where we could consider selling before our price target.

We put a stop loss at 50€.